

CHAPTER ONE

CONCEPTS AND FUNCTIONS OF MANAGEMENT

Introduction

Over the years the concept management has been defined in different ways by different authors as a result of their exposure, intellectual experience, perception etc. But in whatever ways Management is defined it is geared towards getting things done in an effective and efficient manner.

Concepts of Management

Scarcity of resource, ^{— Scarce resources} _{— high level of competition} and the desire to be at edge over other producers of goods and service are among other things that necessitated management in the business World. Management therefore is the process of coordinating and integrating work activities so that they are completed efficiently and effectively with and through other people.

It is an art of creating an environment in which people can perform either as an individual or as team towards attainment of group goals.

It is an art of knowing what to do, when to do and see that it is done in the best and cheapest way".

Management is a purposive activity. It is something that directs group efforts towards the attainment of certain pre-determined goals. It is the process of working with and through others to effectively achieve the goals of the organization, by efficiently using limited resources in the changing world.

Management involves creating an internal environment: - It is the management which puts into use the various factors of production. Therefore, it is the responsibility of management to create such conditions which are conducive to maximum efforts so that people are able to perform their task efficiently and effectively. It includes ensuring availability of raw materials, determination of wages and salaries, formulation of rules & regulations etc.

Therefore, we can say that good management includes both being effective and efficient. Being effective means doing the appropriate task i.e., fitting the square pegs in square holes and round pegs in round holes. Being efficient means doing the task correctly, at minimum cost and wastage of resources.

James, et al (2002) in Itodo (2009) defined management as the process of planning, organising, leading, and controlling the work of organisation member and using all the available organizational resources to reach organizational goal.

Jones and George (2003) opine that management is "The planning, organizing, leading and controlling of the human and other resources to achieve organizational goal effectively and efficiently."

Nwachukwu (1988) sees it as a process demanding the performance of specific function.

Koontz, et al (2001) see management as the process of designing and maintaining an environment in which individual working in groups, efficiently accomplish selected aims.

Itodo (2009) is of the opinion that it is an operational process of integrating the managerial responsibilities of planning, organizing, directing, controlling and decision making in the work process and the general environment in order to achieve the objective of an organization in the most appropriate manner. It could be concluded to say that management is the process of planning, organizing, staffing, directing, controlling and at the center of these process is decision making, regarding the organizational resources and these resources include material, finance, human, and information in order to achieve the organizational objective.

- The **material resources** is made up of plants, machineries, equipment, spare parts raw materials, purchase components, material-in- process or work-in-progress, finished goods, semi-finished goods, packaging materials, maintenance and repair, supplies scraps, rejected or rework materials and all other materials used by the organisation either in raw or finished forms.
 - The **financial resources** are the funds available to the organisation to meet its daily, short term, and long term obligations as they fall due as well as to undertake investment
 - The **Human resources** are the people who perform or carry out the required functions and make things happen in and for the organisation.
- The **informational resources** relate to the facts and figures which forms the basis for the decision making process and the procedures and systems which drive the decision-making process

Functions of Management

Management according to **Fayol (1961)** performs the following functions i.e. planning, organizing, coordinating and controlling. But **Koontz, et al (2005)** management functions are: planning, organizing, staffing, directing and controlling. Thus, because of the importance of decision making which is always at the centre of the other management functions should be included into current functions of management. Management functions therefore in a chronological other are: planning, organising, staffing, directing, controlling and decision making as illustrated in figure 1.1 below.

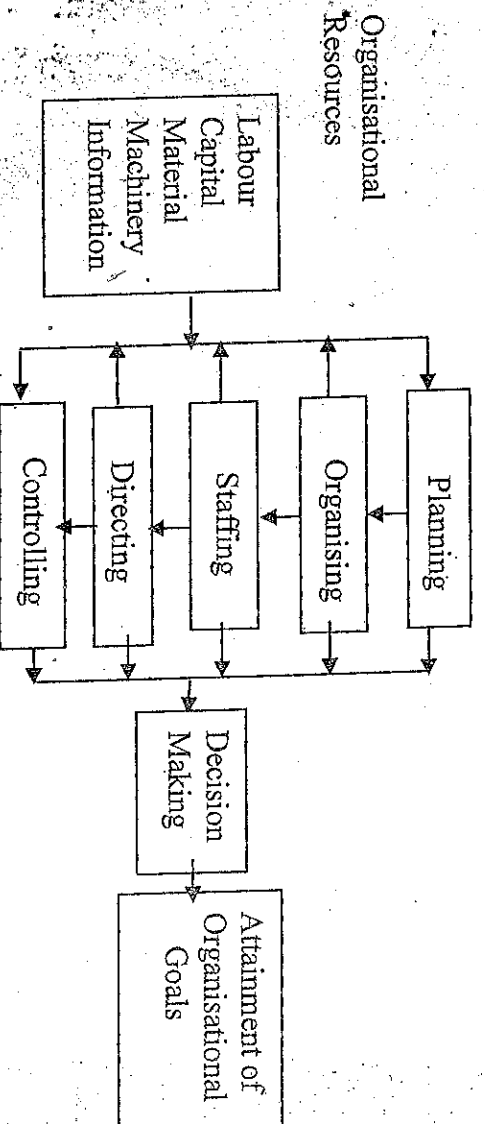


Figure 1.1 key Functions of Management

The figure depict that Planning, Organising, Staffing, Directing, and Controlling with Decision making at the center uses the organisational resources namely: labour, capital, material, machinery and information as input upon which the managerial functions capitalizes in order to attain organisational goals.

The Derivative Functions of Management are:

- Setting of objectives
- Forecasting
- Formulating and implementing policies
- Decision making
- Leading

Motivating
Communicating

Concept of Planning

Planning is the basic function of management. It deals with chalking out a future course of action & deciding in advance the most appropriate course of actions for achievement of pre-determined goals.

Planning is deciding in advance what to do, when to do and how to do. It bridges the gap from where we are and where we want to be."

A plan is a future course of actions. It is an exercise in problem solving and decision making.

Planning is determination of courses of action to achieve desired goals.

Thus, planning is a systematic thinking about ways and means for accomplishment of pre-determined goals.

Planning is necessary to ensure proper utilization of human and non-human resources. It is all pervasive, it is an intellectual activity and it also helps in avoiding confusion, uncertainties, risks, wastages etc. it is the ongoing process of developing the business' mission and objectives and determining how they will be accomplished. Planning includes both the broadest view of the organization, e.g., its mission, and the narrowest, e.g., a tactic for accomplishing a specific goal.

David (2008) pointed out that, the only thing certain about the future of any organization is change, and planning is the essential bridge between the present and the future that increases the likelihood of achieving desired results.

Planning is the process by which one determines when to attempt a task, work out the most effective way of reaching desired objectives, and prepare to overcome unexpected difficulties with adequate resources.

Planning is the start of the process by which an individual or business turns empty dreams into achievements. It enables one to avoid the trap of working extremely hard but achieving little.

Planning consist of all those managerial activities related to preparing for the future.

Planning is a complex and comprehensive process involving a series of overlapping and interrelated elements or stages.

Planning is the process of designing a desired future.

Planning is the process of evaluating the past, analyzing the present as well as preparing for the future of an individual or organisation aimed at achieving desired objectives.

The specific tasks involved in planning are forecasting, formulating strategies, developing policies, setting goals, and establishing objectives.

NATURE OF PLANNING

Planning is characterized by the following nature:-

1. Planning is goal oriented
2. Continuous and ongoing process
3. It is a pervasive function- It is done by managers at all levels
4. Flexible in nature

forecasting
formulating strategies
developing policies
setting goals
establishing obj.

5. Intellectual process that involves choice and decision making
6. It is an integrating process-improper planning results in random activity

TYPES OF PLANNING

Plans could be classified based on their breadth, time frame, business function, scope, and frequency of usage. Some of the basic types are

- I. Strategic plans
- II. Tactical plans
- III. Operational plans which falls into two general classes;
 - a. Single-use plans
 - b. Standing plans
- iv Time/Durational plan (Long term, medium term and short term plans)
- v Specific and directional plans.
- vi Plan with respect to breath/scope
- vii Contingency plans
- Viii Corporate plans

Strategic plans: these are plans that set the general goals or objectives and course of action for an organisation. Goal and Objective can both be defined as statements that reflect the end towards which the organisation is aiming to achieve. However, there are significant differences between the two. A goal is an abstract and general umbrella statement under which specific objectives can be obtained. Objectives are statements that describe in precise, measurable, and obtainable terms which reflect the desired organisation outcomes. It is the plan that establishes the vision and mission. a vision is a wishful statement of future accomplishment that provides direction to an individual, "organisation. And it is answered by the question: what do I/we want to become. a mission is an enduring statement of purpose that differentiates one individual, organisation from another and its relationship with the environment. And it is answered by the question: (what is my/our business or What do I or we exist) all programmed decision of an organisation which includes strategies, rules and regulation, policies are the outcome of strategic plans in an organisation. Other issues that involve strategic plans in an organization include the type of products or services to provide how the products and services are to be offered, and how to handle issues related to competitors.

Tactical plans: A plan that is used to translate strategic plans into specific goals that are most relevant to a particular organizational unit. It is a unit of action plan that translate strategic plans into specific goals. The tactical plans also provide details of how the company or business unit will compete within its chosen business area. Middle managers have the primary responsibility for formulating and executing this plan. These plans are based on marketplace realities when developed for a business. The scope of tactical plans is broader than operational plans below, but not as broad as that of strategic plans.

Operational plans: This plan is more concerned with day-to-day operations. Thus, it is the nuts and bolts of doing business. Operational planning identifies the specific procedures and actions required at lower levels in the organization. This plan provides the details needed to incorporate tactical plans into the organization's day-to-day operations. It is the plan that provides the means through which the stated mission of the organisation could be achieved

effectively and efficiently. Operation plans are plans that provide the detail needed to achieve the strategic plans. In practice, the distinction between tactical planning and operational planning is not clear-cut. However, both tactical plans and operational plans must support the strategic plan. Such as revamping manufacturing and marketing to capture a larger group of customers. Operation plan could come under two headings namely: - Single use Plan and Standing Plan

Single-use plans

These are plans designed to achieve specific non recurring goals after which it is dissolved. It is a detailed course of action use once or occasionally to solve a problem that is not repetitive in nature, it is a plan designed to solve present situational problem. It is a plan made at a particular time to meet up with environmental challenges and some non programmed activities. Example of single-use plans are program, project, and budgets etc.

Program: is a single use plan that covers a relatively large set of organization's activities and specifies major step required to reach an objective, and also the organizational unit or member responsibility for each step, the order and timing of each step.

Project: these are smaller, separate portion of program, limited in scope and contain distinct directives concerning assignment and time e.g. a program could be transferring particular goods from one warehouse to another. One related project might be to evaluate floor space of the warehouse where the goods will be transferred to.

Budget: these are statement of financial resource set aside for specific activities in a given period of time. It is the primary device for controlling an organization's activities.

Standing plans

Whenever organization's activities kept on re-occurring or repeating itself, standing plan could be used to handle those activities. Hence a standing plan is a pre established single decision or set of decision used to solve repetitive problems. Standing plan help managers conserve time because similar situation are handled in a predetermined consistent manner. It is an established set of decision to deal with reoccurring organizational activities or problems. Examples of standing plans are policies, procedures and rules and regulations.

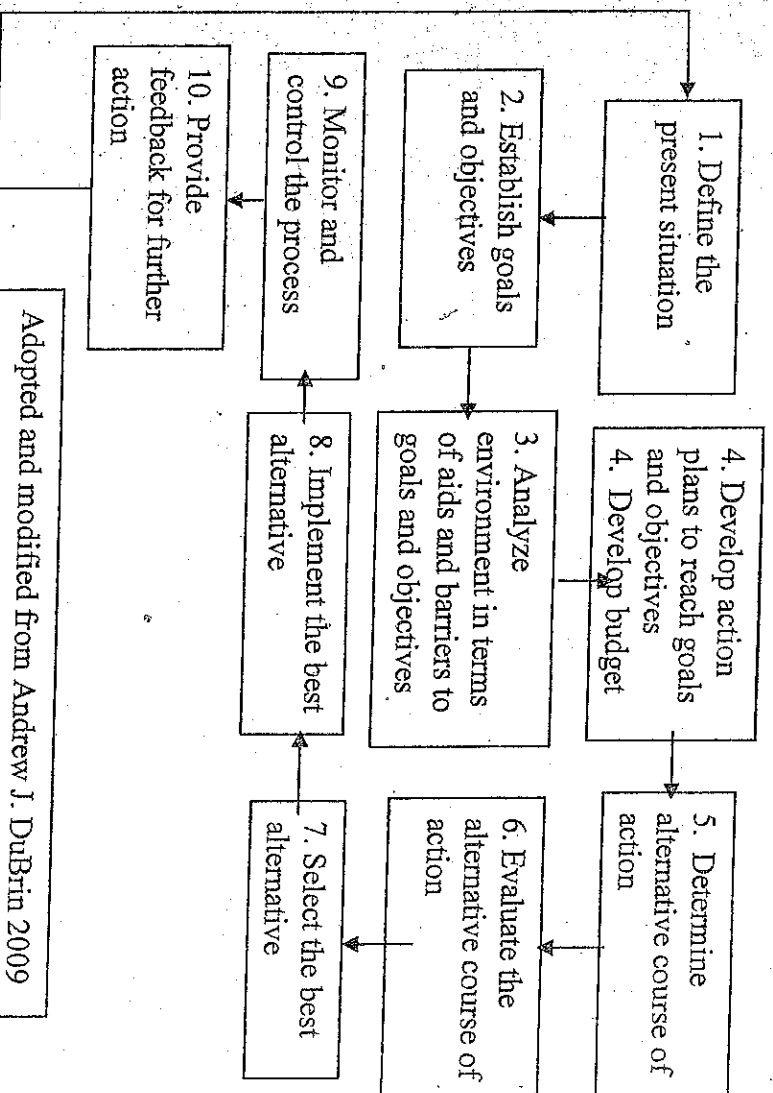
Policies: are standing plan that set a general guideline for decision making. It set boundaries around decision telling managers which decision can be made and which cannot be made. In this way it channels the thinking of organizational members so that it is consistent with organizational objectives.

Rules: a standing plan that details specific action to be taken in a given situation.

Procedures: standing plan that contain detailed guideline for handling organisation action that occurs regularly, it is a standard operation method which is just a detailed set of instructions for performing sequence of action that occurs often or regularly.

While strategic plan is a strategy formulation, operational plan and tactical plan is a strategy implementation.

The framework presented below summarizes the elements of planning. With slight modification the model could be applied to strategic, tactical, and operational planning. A planner must define the present situation, establish goals and objectives, and analyze the environment in terms of aids and barriers to goals and objectives. The planner must also develop action plans to reach goals and objectives, develop budgets, implement the plans, and control the plans.



Time/duration plan: (Long Term, Medium Term and Short Term Plan) Long term, Medium term and short term plan also known as time/Durations plans are time based depending on the organization and industry. Long term plan may cover ten (10) years and above medium term are meant for the period of five (5) years while the short term plan is for one (1) year or less. As noted above, the time range differs from one organization or another. What constitutes long term plan for one organization may likely be a short term plan for another.

Specific and direction plans: Specific plan are plan that are mainly design to achieve a particular objective. In other word, It is a plan that is used to addresses a specific objective e.g. to increase sale by 40% in the next one year. Directional plans are plan that, are flexible in nature and have diverse courses of action. That is a plan that can be used to address many problems.

Contingency Plans: this planning involves identifying alternative plans or courses action that can be implemented if and when the original plan proves inadequate because of changing circumstances

Corporate plans: This could be regarded as strategic plan but here the plan view organization as a corporate whole rather than a collection of departments. Thus it is defined as a systematic and disciplined study designed to help identify the objective of any organization or corporate body, determine the appropriate target, decide upon suitable constraints and devise a practical plan by which the objectives could be achieved. It is a formal, logical method of running a business, which comprehensively covered all activities of an organization. It is a tool of management that guides the business toward achieving its stated objectives. Corporate planning is defined as the process of drawing up detailed action plans in order to achieve the aims and objectives of an organization. It takes into account organizational resources and the environment within which a company operates.

Corporate planning is the responsibility of **senior management** and there should be a structured approach to achieving objectives and implementing corporate strategy

It is the process of drawing up detailed action plans to achieve an organization's goals and objectives, taking into account the resources of the organization and the environment within which it operates.

Corporate planning represents a formal, structured approach to achieving objectives and to implement the corporate strategy of an organization.

Success of the Plan depends how best the resources (strength and weakness) of the organization and the environment (opportunity and threats) have been critically analyzed.

In addition, modification in action plans prepared based on feedbacks is the key for success

From a company's perspective, corporate planning involves formulating long term business goals so that the strategic planning of an enterprise may be developed and acted upon. Taken into account the following

Primary Focus

Corporate and strategic planning focuses on efficiently and effectively achieving optimal performance from all business divisions, with actionable information provided to executive management in order to foster accountability and business growth.

Process

The process of gathering data to prepare detailed action plans addresses a corporate organization's goals and objectives so that an actionable plan may be developed, usually by senior management.

Information Considered

The resources of a business, company or organization is considered along with the environment in which it is operating. Statistical data including budget formulation and performance management is used in connection with business analysis and forecasting.

Planning

A plan is developed using the determined information and resources including targets and milestones that corporate planning executives and managers may use to reach company goals and objectives.

Significance

As a formal and structured approach, corporate planning can be instrumental in achieving strategic corporate goals and objectives for any kind of business organization.

PROCESS OF PLANNING

Planning process varies from one organization to another but despite the variance the following are the logical processes in planning.

1. Identification or awareness of opportunities/threats

2. Establish goals and objectives
3. Developing premises
4. Determination of all alternative courses of action
5. Evaluating the alternative courses of action
6. Selecting the best course(s) of action
7. Implementation of the best course(s) of action
8. Control the planning activities
9. Feed back

Awareness of Opportunities or threats: - The first step in planning process is the identification of opportunities to be exploited or threats needed to be analysed and converted into opportunity. In other words, the first step is the identification of those parameter on which the planning decision will be based up on which are in form of opportunities or threats.

Setting or Establishing of objectives/Plans: Once the opportunities or threats have been identified the next thing is to established or set objective/plans which are based on the mission statement of the organization. While trying to take advantage of the opportunities and avoiding the threats established.

Development of Premises: This is the development of the environment within which the plan is to be prepared. In other word, all plans have specific environments within which they could function. It is therefore importance to understand and utilize consistent planning premises so that organization can stay coordinated on its operation.

Determinations of all Alternative Courses of Action: This is the search for and listing of all the alternative courses of action which must be done on priority bases and the most promising one analyzed in order to eliminate the least promising one.

Evaluation of the Alternative Courses of Action This process involves comparing the different alternatives to see which one contributes greatly to the organizational goals and objective. While taking into account the opportunities and threats in the organization's environment.

Selection of the Best Courses of Action: This is the point that decision must be taken to either utilize one or more alternative course of action. It is the point where the best alternative is taken which is deemed promising to achieve the goals of the organization. It is important to follow several course of action than a single course of action. Unless if only single alternative is a promising one.

Implementation of the Best Courses of Action: This is the process of putting into action the plan that has been selected and those things contained in the plan. This stage requires developing sub-plans from the master or strategic plan and turning the plans into numerical value.

Controlling the planning activities:

Control in it ordinary sense refers to the measurement of performance against set standard in order to identify deviation it answers questions such as; have things been done according to the plans? If things were not done as expected, what happened? This is important so that correction could be made before problem occurs.

Feedback: This is the reply information that tells the manager whether events confirm to plan or not. The information obtained signals whether to start or not to start the entire planning process or steps all over again.

PRINCIPLES OF PLANNING

The fundamental principles that direct the course of activities when planning are:
Futuristic in Nature: That is a today's design for tomorrow's action.

Principle of intellectual thinking that require, mental work, imagination and foresight. Planning is continuous in nature and logical in order.

Principle of contribution to objectives

Every plan has to contribute positively toward the accomplishment of enterprise objectives.

Principle of efficiency of plans

Efficiency is measured by the contribution of the plan to objectives of the enterprise minus the costs and unsought for consequences in formulating and implementing the plan.

Principle of primacy of planning

Planning is the primary prerequisite for all other functions of management. Every action of the manager follows a planning step.

Principle of planning premises

If more people in an organization use common and consistent planning premises, the enterprise planning will be more coordinated.

Principle of policy framework

If more policies, appropriate to the organization, are expressed in clear terms and form and if manages understand them the plans of the enterprise will be more consistent.

Principle of timing

If plans are structured to provide a network of derivatives plans in sequence, there will be more effectiveness in attainment of enterprise objectives.

Principle of alternatives

Select the plan which is the most effective and the most efficient to the attainment of a desired goal.

Principle of limiting factor

Consider limiting factor in generating alternatives and selection from alternatives.

The commitment Principle

Planning can cover a period over which commitment of resources can be clearly visualized.

The flexibility Principle

Building flexibility in planning is beneficial, but cost of building flexibility needs to be evaluated against the benefits.

The Principle of navigational change

Manager needs to periodically check events of the plan and redraw plans to maintain the move toward a desired goal.

Principle of competitive strategies

In a competitive arena, it is important to choose plans in the light of what competitor will or will not do and navigate based on what competitors are doing or not doing.

THE BENEFITS OF PLANNING

Several important benefits are associated with planning if properly undertaken. To begin with, planning requires manages to assess the external forces that affect the company. This helps the company respond to challenges present in the environment. The goal that is established as part of the plan gives the company member a sense of direction and purpose in that environment. Furthermore, when planning is properly conducted, it helps the management team to establish priorities, coordinate activities, develop standards, and clarify forces that will contribute to success. Effective planning processes result in increased participation by lower-level members. This in turn, led to improved managerial skills for all of the members of the company. Planning is the basis of control. Thus, well-designed plan

sets the standards that will be used to assess performance at every level in the organizational hierarchy, both in the short term and over time. And finally, planning may help a firm reduce future uncertainty by anticipating what will happen in the future, forcing managers to think long term. These advantages are described in greater detail below.

It helps Manager to assess External Forces that affect the Company

One of the key aspects of planning is examining various environmental factors: This helps the firm deal with environmental uncertainty and identify both opportunities and threats present in the environment. Then the management team can mobilize resources to neutralize potential threats as well as take advantage of opportunities.

Planning helps in Developing a Sense of Direction and Purpose

Well-designed plan helps both managers and employees to understand that the organization is trying to achieve as well as the role that each plays in accomplishing those goals. Without a plan, managers and employees may not recognize how they share a common fate, even if they carry out the tasks they think are important. The lack of a clear sense of action leads to multiple and often conflicting goals and the ineffective use of resources.

Identifying the Factors That Affect the Organization

Properly conducted planning helps the organization focus on factors related to growth, renewal, and survival. Managers are able to reflect on issue that may not be obvious in the midst of day-to-day work pressures.

Encouraging Participation

When workers participate in managerial activities, they tend to be committed and work much harder to see that their effort succeeds. They also experience stronger feelings of commitment to the organization. The planning process is an excellent place to encourage managers and employees share inputs about the goals of the organization, and to find the best ways to achieve those goals. Participation is likely to strengthen the efforts dedicated to attaining those goals and increase goodwill toward their immediate supervisors and the overall company.

Coordination of Efforts

Managers who operate independently may not be aware of what other managers are doing. The planning activities provide an opportunity for managers to coordinate their efforts more effectively as that is one of the avenues they could share input as well as ideals.

Establishment of Priorities

Planning Can-help a Firm prioritizes its major problems or issues. Lack of priorities can dilute the organization's efforts or make it susceptible to managers who take advantage of the confusion to impose their own agendas. Also, the failure to define priorities causes the firm to drift and prevents it from developing a clear strategic focus.

Focusing Attention on Different Time Horizons

Many business programs may take years to complete. Steps can be taken to achieve long-term objectives by balancing them with short-term goals. Management should be able to successfully plan for both short- and long-term opportunities

Understanding Circumstances Contributing to Past success or Failure

It is vital for managers to learn from past successes and failures. Planning can bring the reasons for poor and good performance into sharper view enabling the firm to draw on experience.

Ensuring the Availability of Adequate Resources

A well-designed plan leads to identifying the resources needed for the future. These resources may come from several sources. Such as using the research staff to develop multiple products line to achieve its new business objectives.

Establishing Performance Standards

The end result of any planning process is a series of statements regarding objectives to be met along with expected activities. These criteria define expected behaviors for organizational members and allow for the assessment of progress. As time passes, the relative contributions of individuals and groups can be assessed and rewarded.

Supporting Organizational Control Systems

Organizations cannot be successful unless control systems are in place to ensure that objectives are being attained and that resources are being used appropriately. A control is any process that helps align the actions of individuals with the interests of their employing firms. A control system is the knowledge that someone who knows and cares is paying attention to what we do and could tell us when deviations are occurring.

Effective planning improves a company's control system by making it possible to compare target versus actual results. When a gap is detected between company goals and observed results, corrective actions are taken to modify activities for the future. In a few extreme cases, the existing plan may be completely abandoned. When company executives fail to abandon a plan after large resources have been spent even though all available evidence suggests that the plan is not working, the problem is called **escalation of commitment**.

Developing "What If" Scenarios

Organizations, like individuals, face a great deal of uncertainty. Planning could help managers deal with uncertainty by anticipating what may happen in the future. No firm has a crystal ball to accurately forecast the future. Planning could help identify different future scenarios and spell out what to do in each scenario. This is known as contingency planning.

Management Development

Individual managers should play a major role in focusing the organization on the future. Planning helps managers to be proactive and forward-thinking rather than being reactive and just letting things happen. By considering future possibilities and developing a long-term vision, managers could become more committed to the firm and learn to convert abstract ideas or objectives into concrete actions. Including managers from every level of the organization in company planning processes is an effective form of "on the job" training. These planning experiences "season" managers, so they are able to move into more responsible roles in the future.

- i. It helps a firm achieve maximum effect from a given effort.
- ii. It helps a firm prepared for unexpected happenings.
- iii. It enables organization to take account of relevant factors and focus on them.
- iv. It enables a firm to gather necessary resources and use them efficiently.
- v. It is a cornerstone for effective strategy formulation.
- vi. It enables a firm to assess its strength and weakness.
- vii. Planning enables a firm to conserve its own resources avoids wastages and makes a fair profit.
- viii. Minimizes uncertainty and risk-helps in decision making
- ix. gives a clear view of the future-forecasting
- x. Leads to effective use of resources and economic operation

THE PROBLEMS OF PLANNING

Company leaders will not realize the benefits of planning if the planning process itself is flawed. Future conditions can be forecasted incorrectly, reporting relationships can become overly hierarchical, planning can become a self-contained activity, and bureaucratization can become oppressive, and objectives and processes that are no longer optimal for the firm may be used. Each of this creates problem in planning activities.

Poor Forecasts of Future Conditions

It is so obvious that the business environment is changing faster than ever. Even the most sophisticated planning techniques may not predict accurately 'what is likely to happen in the future. The longer the timeframe, the more likely that unforeseen circumstances will occur. Where the future condition upon which plan is based is faulty the resultant planning outcome may likely gives incorrect result leading to impossibility in achieving plan objectives.

Plans Imposed from Above

The traditional approach to planning is from the top down, with the CEO and senior executives, and perhaps a planning department, establishing organizational objectives and laying out general business strategies. Managers at lower organizational levels then devise implementation methods and operational plans to support the objectives and strategies set at the top. Separating the plan generators from the plan implementers often leads to the development of plans that lower level managers may find it difficult to put into practice. Such plans often do not benefit from the wisdom and experience of those at lower levels within the firm. Many "reengineering" plans have failed in part because they were imposed on the rest of the firm by the top of the hierarchy.

Planning as a Self-Contained Activity

There is a danger that the people engaged in planning will become so fascinated with the process that they become a close-knit group separated from the rest of the organization. Managers and employees may be cynical about objectives and suggestions for action emanating from specialized planning departments or units. When this arises it affects the success of the plans.

Extensive Bureaucratization

When planning is conducted by specialists without the participation of other managers, there may be a tendency to generate volumes of paper work accompanied by fancy oral presentations. In other instances, plan becomes overly quantitative and formula driven. As a result, the logic behind the recommendations may be difficult to understand and may lack common sense. Because formulas that work relatively well in stable conditions may totally fail in turbulent times.

Inflexible Adherence to Objectives and Processes

A firm may become overly committed to an outdated plan, ignoring clues that it is time to change direction. People tend to justify "sunk costs" by continuing to defend objectives in spite of disappointing results. As the previously established objectives become difficult to achieve as a result of changes in the environment, a firm is expected to change its plans.

KEYS TO SUCCESSFUL PLANNING

Planning pitfalls described above could be avoided. Successful planning includes involving managers at different levels, using a combination of numerical and judgmental methods, viewing planning as a continuous activity capable of adapting to change, avoiding paralysis of the analysis, and concentrating planning efforts on a manageable set of issues.

Involving Different Organizational Levels

To one degree or another, every level of management should be involved in planning. Planning cannot be viewed as the province of staff specialists or senior managers living in ivory towers. In general, both the quality of the plan and commitment to it are likely to increase when key managers and employees at various organizational levels contribute to its formulation and implementation.

Using both Numerical and Judgmental Methods

Planning is as much an art as a science. An effective planning process requires a thorough understanding of interrelated environmental and organizational factors. These factors provide clues about where the firm should be moving in the future, the resources it has at its disposal, and the constraints it faces. While numerical data can be helpful, the numbers need to be carefully interpreted. There are situations in which numerical approaches are not suitable. Systematically tapping the knowledge of employees at different levels in the organization allows the firm to benefit from their experiences and to profit from the collective judgment of company employees.

Viewing Planning as Continuous and capable of Adapting to Change

Company leaders must be flexible enough to respond to changes in technology, competitors' reactions, international trends, and industry condition if the planning process is to be successful. Almost any objective and the steps to accomplish it are likely to become obsolete relatively quickly unless there are built-in mechanisms to consider and respond to change. Results should be monitored continuously to detect major deviations from initial assumptions and expectations. Planning should question if future directions, chosen alternatives, and priorities. In particular, the firm needs to guard against escalation of a failing course of action, as noted earlier. Past choices and sunk costs should not entice the firm to continue investing in a plan when there is sufficient evidence to question the wisdom of that plan.

Firms use a variety of approaches to keep objectives and action plans attuned to changes in internal and external environments. These include scheduled retreats of key managers and employees, workshops led by consultants, Environmental scanning. The use or two-way feedback between managers and employees in the performance appraisal process, and the creation of standing cross-functional committees composed of executives and key employees to monitor progress, identify current or emerging problems, and recommend corrective actions.

In some cases the firm must react quickly to deal with unforeseen circumstances. Even with the best-made plans, managers of successful firms are often called to act by "the seat of their pants" to confront crisis situations that seem to come from nowhere.

Avoid Paralysis of the Analysis

An Obsession with paperwork, technical reports, statistical tables, and other supporting documentation causes paralysis by analysis. Plans only succeed when those responsible accept the plan and become devoted to seeing it implemented effectively. The key to successful planning is action, not becoming bogged down in overanalyzing every detail.

Concentrating on a Manageable Set of Issues

It is important to limit planning to key priority areas. a good way to identify these key areas is to focus on the firm's core competence or the resources that enable it to do things better than competitors. This keeps planning from being a "pie in the sky" exercise and anchors it to the firm's strengths. Besides simplifying the planning task, it will make plans easier to explain, since managers and employees will be cognizant of the problems, challenges, alternatives, and priorities being addressed. Moreover, the levels of risk and uncertainty are lowered since the plan is confined to areas about which the firm has information and experience, reducing the probability of unpleasant surprises.

Main Pitfalls of Planning

The main pitfall from which all others derive is falling into the delusion that planning can determine outcome.

- **planning is only as good as the information on which it is based.** Too often, groups rely on untested assumptions or hunches, erecting their plans on unsteady ground.
- **planning isn't magic: you can't always get what you want.** Frequently, organizations contemplating new initiatives begin by writing the last page of their plans, the one where everyone lives happily ever after. But the process of planning is one of research and

investigation. Considering a major expansion of activity means taken stock of organizational readiness in many ways. Is there an audience or constituency? Do you have access to the policymakers? Are the material resources adequate? The time required to do it right? Planning is a tool that can help you decide whether to go forward, not just how. If the answers to key questions are "no," then the outcome of planning should be to postpone the contemplated expansion, working toward readiness to tackle it farther down the road.

- **plans are adaptable.** An organization isn't an artifact to be set in place with planks and nails. In contrast to a construction project, organization-building is never complete; an organization's choices are to continuously adapt or die. Rather than planning as if the future were pre-determined, plan for flexibility. Plans that can't be changed shouldn't be written.
- **put planning in its place and time.** Some groups don't recognize that it takes time and effort to plan well. They want the results but aren't able or willing to make the investment. They end up in the worst of both worlds: their ongoing work is set back because they took time to plan without thinking through the implications and their too-rushed plans end up meaningless. Be realistic about what you can invest. Find a way to plan that suits your available resources -- time, energy, money.
- **groups can be blindsided by the issues that planning reveals.** There's a mollifying rhythm to the daily grind, as diligence, deadlines, and distractions keep tensions and conflicts at bay. When an organization pauses to plan, what's been submerged may come up for air. When an organization undertakes to plan, everyone should be made aware that issues may arise that need talking through, that there may be moments of heat, struggle, and even head-on collision. Your planning process should include the time, focus, and talent for the mediation needed to resolve such conflicts, so you can turn to face the future as a team.
- **writing it up in plan speak rather than plain language undoes the good of planning.**

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- Network analysis
- Break-even analysis
- Cash-flow systems